PACIFIC RIDGEWAY

A PLAIN-ENGLISH GUIDE

The Family Legacy *Guide*

Give your kids and grandkids a head start.



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W E L C O M E

The best gift isn't money. It's a *head start*.

Most families pass on whatever happens to be left. The families that build lasting wealth decide what they'll pass on, and start early.

Cash value life insurance is one of the few tools that can protect a child, grow for decades, be used while they're alive, and still leave money to the next generation. This guide shows how parents and grandparents use it, and the honest limits.

One policy. Four gifts.

Protection

Coverage locked in while they're young and healthy.

Savings

Cash value that grows for decades with no yearly tax on growth.

Opportunity

Money they can borrow for school, a first home or a business.

Legacy

A death benefit that's generally income-tax-free to heirs.

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CHAPTER 1

Why start young

Time is the most powerful ingredient in cash value life insurance. Children have more of it than anyone.

LOWER COST

The younger and healthier the insured, the lower the cost of coverage, often for life.

INSURABILITY FOR LIFE

Coverage is locked in before any health issues. Many policies let them buy more later without new medical questions.

DECADES OF GROWTH

A policy started at birth can grow for 20, 40, 60 years before it's ever needed.

A HABIT, NOT JUST A GIFT

It can become their first lesson in saving, interest and ownership.

Example: a policy for Emma, age 1

	Amount
Yearly premium paid by her parents to age 18	$2,400
Total paid	$43,200
Estimated cash value at 18	About $55,000
Estimated cash value at 65 if no more premiums	About $400,000
Death benefit	Several hundred thousand dollars and growing

Hypothetical whole life example. Values depend on the company, design, dividends (which are not guaranteed) and any loans. Ask for a full illustration with guaranteed and non-guaranteed columns.

CHAPTER 2

Whole life vs. IUL for kids

Both can work. They grow differently and fit different families.

	Whole life	IUL
How it grows	Guaranteed growth plus possible dividends	Interest linked to a market index, with a floor
Payments	Fixed	Flexible
Guarantees	Strong guarantees on cash value and coverage	Fewer guarantees; needs regular review
Best for	Families who want steady, predictable growth	Families who want more growth potential and flexibility
Watch out for	Lower growth in strong markets	Caps, costs and changing rates

Many families start a child with *whole life* for its guarantees, and add IUL later for growth.

Designed for cash, not commissions

A policy built to grow cash value is designed differently from one built to maximize the death benefit. Ask how the base premium and any paid-up additions rider are split. A good design puts more of each dollar to work as cash value early on, while staying within IRS limits so it keeps its tax advantages.

Policies funded too quickly can become a modified endowment contract (MEC), which changes how loans and withdrawals are taxed.

CHAPTER 3

What it can do for them

Cash value is a living benefit. Here's how families use it at each stage of life.

1

College

Borrow against cash value for tuition. Cash value is generally not reported as an asset on the FAFSA.

2

First home

A policy loan for a down payment, with no bank approval.

3

Starting a business

Seed money they control, repaid on their schedule.

4

Their own family

More coverage when they marry or have children.

5

Retirement

Income from cash value, potentially tax-free through loans.

6

The next generation

A death benefit that passes on to their own children.

How policy loans work

A policy loan lets them use money without cashing out. The insurance company lends against the cash value, which can keep growing. Loans charge interest and, if unpaid, reduce the death benefit. If loans grow too large, the policy can lapse and create a tax bill, so they should be managed carefully.

COMPARED WITH A 529

A 529 has bigger tax breaks for education. Life insurance is more flexible: the money isn't limited to school and comes with protection.

USE BOTH

Many families fund a 529 for school and a policy for everything else.

CHAPTER 4

Grandparents: the legacy multiplier

Grandparents can turn money they'll never spend into a much larger, generally income-tax-free gift for the family.

Two common ways

A POLICY ON YOURSELF

A single premium or a few payments buys a death benefit that's often much larger than the money put in, passed to children or grandchildren income-tax-free.

A POLICY ON A GRANDCHILD

You own and fund a policy on a grandchild, then pass ownership to their parent or to them when they're ready.

Example: Margaret, 68, healthy

	Amount
Money in a CD she doesn't plan to spend	$100,000
Single premium into a whole life policy	$100,000
Estimated death benefit	About $220,000
What her grandchildren receive	Generally free of income tax

Hypothetical example. The death benefit depends on age, health, underwriting class, company and design.

RMDs that pay for a legacy

Many grandparents take required minimum distributions they don't need. Using part of each RMD to pay premiums can turn a taxable IRA withdrawal into a tax-free inheritance for the family.

Estate taxes

The federal estate tax exemption is about **$15 million per person** in 2026, so most families won't owe federal estate tax. Larger estates, or states with their own estate tax, may want the policy owned by an irrevocable life insurance trust (ILIT). Talk to an estate attorney.

CHAPTER 5

A family bank

Some families use cash value policies as a private bank that lends to family members and grows across generations.

1

Build the pool

Parents and grandparents fund well-designed policies.

2

Lend with rules

Family members borrow for school, homes or businesses.

3

Pay it back

With interest, so the pool keeps growing for the next person.

A family bank works because of the *rules*, not just the policy. Write them down.

Family bank ground rules

- ✓ What can money be borrowed for?
- ✓ How much can each person borrow?
- ✓ What interest rate do family members pay back?
- ✓ What's the repayment schedule?
- ✓ Who decides, and what happens if someone doesn't repay?
- ✓ Who manages the policies after the founders pass away?

The policies keep growing and provide death benefits that refill the family bank for the next generation.

Educational concept. Policy loans accrue interest and reduce cash value and death benefits if unpaid.

CHAPTER 6

Teaching the next generation

Money passed on without wisdom tends to disappear. A legacy plan works best when it comes with lessons.

SHOW THEM THE STATEMENT

Each year, sit down together and look at how their policy grew. Compound growth becomes real.

LET THEM BORROW (A LITTLE)

A small loan for a first car, paid back with interest, teaches more than any lecture.

WRITE A LEGACY LETTER

Tell them why you started the policy and what you hope it does. Many families say it's the most valued part of the gift.

HAND OVER OWNERSHIP

Transfer ownership when they're ready, and teach them how to keep it going for their kids.

Age-by-age ideas

Age	What to teach
8–12	What insurance is, and what saving means
13–17	How interest grows; read the annual statement together
18–25	Borrowing responsibly; paying a loan back
26+	Owning the policy; starting one for their own child

CHAPTER 7

Ownership and control

Who owns, who's insured and who's the beneficiary are three different roles. Getting them right avoids problems later.

Role	Who it usually is	Why it matters
Insured	The child or grandchild	Whose life the coverage is on
Owner	Parent, grandparent or a trust	Controls the policy, loans and changes
Payer	Usually the owner	Pays premiums; may count as gifts
Beneficiary	Parents, or a trust	Receives the death benefit

Transferring ownership

When the child is ready, the owner can transfer the policy. The value at transfer may count as a gift. The annual gift tax exclusion is **$19,000 per person** in 2026, and larger gifts usually just reduce your lifetime exemption rather than trigger tax.

Plan for "what if"

- ✓ Name a successor owner in case you pass away first
- ✓ Name contingent beneficiaries
- ✓ Consider a trust if the child is young or the amounts are large
- ✓ Keep premiums affordable so the policy doesn't lapse

General information. Gift and estate rules are complex. Consult a tax or estate professional.

CHAPTER 8

Mistakes & questions

Avoid these and ask these, with us or anyone else.

The mistake	Do this instead
Insuring kids before the parents	Make sure the breadwinners are covered first
Buying the cheapest premium	Design for cash value growth, not the lowest cost
Funding it too fast	Stay under MEC limits to keep tax advantages
Over-borrowing	Track loans so the policy never lapses
Picking a weak company	Use highly rated, long-standing insurers
Never reviewing it	Look at it together every year

Questions to ask

- ✓ What's guaranteed, and what isn't?
- ✓ When does cash value exceed what's been paid in?
- ✓ What does a loan cost?
- ✓ Can coverage be increased later without medical questions?
- ✓ How strong is the company?
- ✓ How are you paid on this?

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Let's build your strategy

The policy is the tool. The strategy is what makes it powerful. Here's how we work with every client:

1
Learn your goals
Protection, college, legacy, or all three.

2
Pick the right tool
IUL, whole life, or both.

3
Shop the strongest
A+ rated, 100+ year companies only.

4
Build for cash value
Designed for growth, not the biggest commission.

5
Show every number
Guaranteed column, costs and honest risks.

6
Review every year
So your plan stays on track.

Book your free 15-minute call

No pressure. No cost. If a policy isn't right for you, we'll tell you.

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